



CHAPTER 7.

An Act to amend the law with respect to the Issue Department of the Bank of England, the Exchange Equalisation Account and the issue and place of payment of Bank of England notes.
[28th February 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1. The fiduciary note issue shall, unless and until, after the commencement of this Act, it is reduced under subsection (2) of section two of the Currency and Bank Notes Act, 1928, or increased under subsection (1) of section eight of that Act, be three hundred million pounds and accordingly—

Amount of
fiduciary
note issue.
18 & 19
Geo. 5. c. 13.

- (a) in subsection (1) of the said section two and subsection (1) of the said section eight, for the words "two hundred and sixty million pounds" there shall be substituted the words "three hundred million pounds"; and
- (b) any Treasury Minute in force at the commencement of this Act under the said section eight shall cease to have effect.

Valuations
of assets of
Issue
Department.

2.—(1) The assets held in the Issue Department of the Bank of England (in this Act referred to as “the Department”) shall be valued on the day on which this Act comes into operation and thereafter once in each week.

(2) For the purposes of every such valuation, the assets shall be valued at such prices as may be certified by the Bank of England to be the current prices of those assets respectively on the day of the valuation, ascertained in such manner as may be agreed between the Treasury and the Bank :

Provided that adjustments may, if the Treasury so direct, be made in respect of interest affecting the current price of any securities and, in the case of securities standing at a premium, in respect of that premium.

(3) If, as the result of any such valuation, the value of the assets then held in the Department differs from the total amount of the Bank of England notes then outstanding, there shall be paid to the Department from the Exchange Equalisation Account (in this Act referred to as “the Account”) or to the Account from the Department such sum as will counteract that difference, and separate payments may be made in respect of differences arising from changes in the value of gold and differences arising from changes in the value of other assets.

Any payment required by this subsection may be effected in cash or, by agreement between the Treasury and the Bank of England, by a transfer of gold or securities (whichever is appropriate), or partly in cash and partly by such a transfer.

Consequen-
tial pro-
visions.

3.—(1) Gold held in the Department may be sold to the Account and gold may be bought for the Department from the Account, in each case at the price at which gold was valued for the purposes of the last valuation under the last preceding section.

(2) The Treasury shall pay into the Account all sums received by them after the commencement of this Act in respect of the profits of the Department under section six of the Currency and Bank Notes Act, 1928.

Miscellane-
ous pro-
visions as to
Bank of
England
notes.

4.—(1) Notwithstanding anything in any enactment, bank notes for five pounds and upwards may be issued by the Bank of England otherwise than at their head office without being made payable at the place of issue, and all

bank notes for five pounds and upwards issued by the Bank shall, wherever issued, be payable only at the head office of the Bank unless expressly made payable also at some other place.

(2) Section four of the Bank Charter Act, 1844 7 & 8 Vict. (which requires the Department to issue notes in return c. 32. for gold), shall cease to have effect.

5.—(1) This Act may be cited as the Currency and Bank Notes Act, 1939. Short title,
commence-
ment
and repeal.

(2) This Act shall come into operation on the first Wednesday after the day on which the Royal Assent is given thereto.

(3) The enactments set out in the Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

SCHEDULE.

Section 5.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
7 Geo. 4. c. 46	The Country Bankers Act, 1826.	The final proviso to section fifteen.
3 & 4 Will. 4. c. 98.	The Bank of England Act, 1833.	Section four.
7 & 8 Vict. c. 32.	The Bank Charter Act, 1844.	Section four.
22 & 23 Geo. 5. c. 25.	The Finance Act, 1932.	Subsections (2) to (6) of section twenty-five.

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